

SHOP & ESTABLISHMENT ACT REGISTRATION — COMPLIANCE OVERVIEW

This document provides a general overview of Shop and Establishment Act registration, a mandatory compliance requirement for most businesses operating in India. This is general informational content, not professional advice.

1. What is the Shops and Establishments Act

The Shops and Establishments Act is a state-specific legislation that regulates conditions of work, hours of work, holidays, wages, and terms of service for employees working in shops, commercial establishments, and other business premises. Each state has its own version of the Act with varying provisions.

2. Who Needs to Register

Any business operating from a commercial premises — including shops, offices, restaurants, and other establishments — must register under the applicable State Shops and Establishments Act, generally within 30 days of commencing business operations, regardless of the number of employees.

3. Documents Required

- PAN Card of the business/proprietor
- Identity proof (Aadhaar, Voter ID) of proprietor/partners/directors
- Address proof of the establishment (rent agreement, electricity bill, or property tax receipt)
- Details of employees (number, names)
- Certificate of Incorporation (for companies/LLPs)

4. Registration Process

- Visit the respective State Labour Department portal or local municipal corporation website.
- Fill in the application form with business and employee details.
- Upload required documents and pay the prescribed registration fee (varies by state and establishment size).
- Upon verification, a Shop and Establishment Registration Certificate is issued, which must be displayed prominently at the business premises.
- Renewal is typically required annually or once every few years, depending on state rules.

5. Key Compliance Areas Covered

- Maximum daily/weekly working hours and mandatory rest intervals.
- Weekly holidays and paid leave entitlements.

- Rules regarding employment of women and young persons, including restrictions on night shifts (subject to state-specific exceptions and safeguards).
- Overtime wage payment for work beyond prescribed hours.
- Conditions and notice period requirements for termination of employment.
- Maintenance of registers related to employment, wages, and leave.

6. Penalties for Non-Compliance

Operating without registration, or failing to renew registration, can attract fines as prescribed under the respective state's Act, and may affect eligibility for other business registrations and licenses that require Shop and Establishment proof.